



LTTS reported a decent Q4FY22 performance with revenue marginally below our estimates while EBIT margins beat our estimates by 54 bps. Dollar revenue growth guidance for FY23e stood at 13.5-15.5% which was below our estimate of 18-20%

- \$ Revenue came in at \$232 Mn, +3.1% qoq / +17.5% yoy and -1.7% below our estimate of \$236 Mn
- INR revenue came in at INR 17,561 Mn, +4.1% qoq / +21.9% yoy and -0.7% below our estimate
- EBITDA was reported at INR 3,804 Mn, +3.5% qoq / +29.8% yoy and +1.2% above our estimates
- EBITDA margins stood at 21.7%, vs 21.8% / 20.3% in Q3FY22 / Q4FY21 respectively and 42 bps above our estimates
- EBIT was reported at INR 3,274 Mn, +4.1% qoq / +36.9% yoy and +2.3% above our estimates
- EBIT margins stood at 18.6%, vs 18.6% / 16.6% in Q3FY22 / Q4FY21 respectively and 54 bps above our estimates
- PAT came in at INR 2,620 Mn, +5.3% qoq / +34.7% yoy and 2.7% above our estimates
- EPS at INR 24.8 in Q4FY22 vs 23.7 / 18.5 in Q3FY22 / Q4FY21 respectively
- FY23e USD revenue growth guidance stood at 13.5-15.5%

Segment-wise Performance

- **Transportation** (33.3% of services revenue) reported 7.9% qoq / +25.4% yoy
- **Industrial Products** (18.8% of revenue) reported -0.6% qoq / +16.8% yoy
- **Telecom & Hi-Tech** (21% of revenue) reported +1.1% qoq / +11.6% yoy
- **Process Industry** (15.4% of revenue) reported +3.1% qoq / +16.7% yoy
- **Medical Devices** (11.5% of revenue) reported -0.4% qoq / +9.8% yoy

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	56,191	54,497	65,697	76,299	88,796
EBITDA	11,105	10,074	14,149	16,482	19,295
Adjusted net profit	8,218	6,659	9,600	11,483	13,617
Free cash flow	4,870	12,517	7,131	8,437	8,620
EPS (Rs)	81.1	65.7	94.7	113.3	134.3
growth (%)	7%	-19%	44%	20%	19%
P/E (x)	50.7	62.5	43.4	36.2	30.6
P/B (x)	15.0	12.0	10.0	8.4	7.1
EV/EBITDA (x)	37.0	40.7	28.7	24.3	20.4
D/E	-	-	-	-	-
ROCE (%)	28.6	18.8	22.4	22.8	22.9
RoE (%)	31.4	21.4	25.2	25.3	25.1
Dividend yield (%)	0.6	0.6	0.7	0.8	1.0

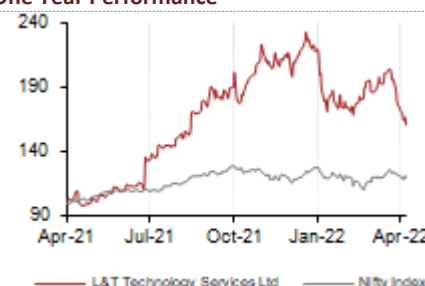
Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY	5,371	31

Market data

Current price	Rs	4,101
Market Cap (Rs.Bn)	(Rs Bn)	433
Market Cap (US\$ Mn)	(US\$ Mn)	5,683
Face Value	Rs	2
52 Weeks High/Low	Rs	5,958 / 2,471
Average Daily Volume	('000)	251
BSE Code		540115
Bloomberg		LTTS.IN
Source: Bloomberg		

One Year Performance



Source: Bloomberg

% Shareholding	Mar-22	Dec-21
Promoters	73.90	73.93
Public	26.10	26.07
Total	100	100

Source: Bloomberg

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Concall Highlights

- Patent filings in FY22 increased by 3x at 98 versus 28 in FY21
- Won 6 large deals with a TCV of \$100 Mn+ during Q4FY22. 1 deal of \$100 Mn with Jaunt Air Mobility, 1 deal \$25 Mn+ and 4 deals with a TCV of \$10 Mn+
- Jaunt Air Mobility Deal: LTTS will provide new product development engineering and design services for the Jaunt Journey eVTOL (electric Vertical Takeoff and Landing) air taxi in the areas of Flight Control and Battery Management
- \$25 Mn deal was with a new age company focused on autonomous and self-driving cars where LTTS is an exclusive partner
- Margin walk: Headwinds from utilization and revenue mix changes which were offset by operational efficiency, economies of scale and currency depreciation
- Utilization during Q4 stood at 75.1% and can expect this to go up to 78% gradually
- Outlook: FY23e dollar revenue growth of 13.5-15.5%. Additionally, company reconfirmed its target of becoming \$1 Bn enterprise by Q2/Q3 of FY23. Expect to maintain EBIT margins of 18%+ levels

Segment-wise Commentary:

- Transportation: Good pipeline of deals in Connectivity and Autonomous cars and outlook looks healthy
- Plant Engineering: Broad-based performance across FMCG, O&G and Chemicals. Seeing healthy spends for Capacity Expansion and Plant modernization as companies focus on Digital Asset Management and Automation. Management sees steady growth in this segment
- Industrial Products: Commodity Price inflation and Supply chain disruption impacted growth in few top customers. Expect this segment to recover and strong growth in FY23 as companies are expected to increase spend on digitization, digital products backed by digital manufacturing.
- Telecom & Hi-Tech: Launched a new business unit for Metaverse which will help boost growth and profitability in the future. Management is seeing good demand across segments and one can expect gradual sequential improvement as portfolio shifts towards more advanced technologies.
- Medical: Management seeing gradual increase in pipeline led by opportunities in software and digital platforms. LTTS is also helping companies in Regulatory & Compliance. Expect better performance in FY23 vis-à-vis FY22

Other Highlights

- Trained 18,000 people in new technologies through LTTS' Global Engineering Academy and ramped up fresher hiring in Q4 as company hired 3000 freshers (which are expected to turn billable in FY23)
- Offshore effort stood at 54% and should go up to 57% going ahead
- Management did positive corrections to salaries in January and expects to do a wage hike as per normal cycle in July
- Cash & Investments stood at INR 2,152 Cr

Quarterly Deviation Sheet

Quarterly analysis							(Rs)
YE March (INR Mn)	Q4FY22	Q3FY22	Q-o-Q change %	Q4FY21	Y-o-Y change %	Q3 FY22 Est.	Deviation %
Total Revenue (USD Mn)	232.0	225	3.1%	198	17.5%	236	-1.7%
Total Revenue (INR Mn)	17,561	16,875	4.1%	14,405	21.9%	17,690	-0.7%
Less:							
Cost of Revenues	9,485	9,224	2.8%	8,496	11.6%	9,687	-2.1%
SG&A Expenses	4,271	3,977	7.4%	2,978	43.4%	4,246	0.6%
Total Expenditure	13,756	13,201	4.2%	11,474	19.9%	13,932	-1.3%
EBIDTA	3,805	3,674	3.6%	2,931	29.8%	3,757	1.3%
Less: Depreciation	531	530	0.2%	540	(1.7%)	556	-4.4%
EBIT	3,274	3,144	4.1%	2,391	36.9%	3,202	2.3%
Interest Paid	105	111	(5.4%)	125		111	
Other income (expense), net	419	370	13.2%	346	21.1%	388	8.0%
Profit Before Tax	3,588	3,403	5.4%	2,612	37.4%	3,479	3.1%
Tax	956	907	5.4%	659	45.1%	927	3.1%
PAT before Minority Interest	2,632	2,496	5.4%	1,953	34.8%	2,552	3.2%
Minority Interest	12	8		8		0	
Profit After Tax	2,620	2,488	5.3%	1,945	34.7%	2,552	2.7%
Basic & Diluted EPS (Rs.)	25.0	23.7	5.3%	18.5	34.7%	24.3	2.7%
Outstanding Shares (mn)	105	105		105		105	
Change In bps							Change In bps
Margin Analysis %							
EBIDTA Margin	21.7%	21.8%	-10	20.3%	132	21.2%	43
EBIT	18.6%	18.6%	1	16.6%	205	18.1%	54
PBT Margin	20.4%	20.2%	27	18.1%	230	19.7%	77
NPM	14.9%	14.7%	18	13.5%	142	14.4%	50
Effective Tax Rate (%)	26.6%	26.7%	-1	25.2%	141	26.7%	-1
Change In bps							Change In bps
Cost Analysis %							
Cost of Revenues/ Sales	54.0%	54.7%	-65	59.0%	-497	54.8%	-75
Other income/ PBT	11.7%	10.9%	81	13.2%	-157	11.1%	53

Source: Company, D&B Research

Valuation & Outlook

LTTS is currently trading at 36.2x / 30.6x FY23e/FY24e EPS respectively.

Management commentary was extremely positive, however the guidance of 13.5%-15.5% YS\$ revenue growth for FY23e was incongruent with it and fell short of our expectations (18-20%).

Nevertheless, large deal wins, management commentary and industry-wise macros are extremely encouraging and we believe that the management has been highly conservative in its growth outlook. We expect management to easily deliver on the upper end of its growth guidance and in fact increase the guidance gradually on a sequential basis (similar to FY22 trend).

Therefore, while we cut our revenue estimates in-line with management guidance, **we maintain our target multiple of 40x FY24e EPS of INR 134.3 to arrive at TP of INR 5,371. Since the stock price has corrected by more than 30% since our last update, we believe these to be good levels and upgrade our rating from HOLD earlier to BUY.**

Financials

Profit & Loss A/c					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Total Revenue	56,191	54,497	65,697	76,299	88,796
Growth %	11%	-3%	21%	16%	16%
Less:					
Employee Cost	33,700	33,615	36,505	41,505	48,634
SG&A Expenses & Other	11,386	10,808	15,043	18,312	20,867
Total Operating Expenditure	45,086	44,423	51,548	59,817	69,501
EBIDTA	11,105	10,074	14,149	16,482	19,295
Growth %	21%	-9%	40%	16%	17%
Less: Depreciation	1,829	2,183	2,144	2,307	2,685
EBIT	9,276	7,891	12,005	14,175	16,610
Growth %	14.4%	-14.9%	52.1%	18.1%	17.2%
Interest Paid	365	455	437	420	420
Non-operating Income	2,091	1,537	1,524	1,907	2,220
Profit Before tax	11,002	8,973	13,092	15,663	18,410
Tax	2,778	2,308	3,486	4,173	4,787
Net Profit	8,230	6,671	9,612	11,495	13,629
Adjusted Profit	8,230	6,671	9,612	11,495	13,629
Growth %	7%	-19%	44%	20%	19%
Reported Diluted EPS Rs	81.0	65.6	94.6	113.1	134.2
Growth %	7.0%	-19.0%	44.2%	19.6%	18.6%
Adjusted Diluted EPS Rs	81.1	65.7	94.7	113.3	134.3
Key Ratios					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBIDTA (%)	19.8%	18.5%	21.5%	21.6%	21.7%
NPM (%)	14.6%	12.2%	14.6%	15.1%	15.3%
RoE (%)	31.4%	21.4%	25.2%	25.3%	25.1%
RoCE (%)	31.2%	21.1%	27.1%	27.4%	27.3%
Tax Rate %	25.2%	25.7%	26.6%	26.6%	26.0%
Book Value Per share (Rs.)	272.8	342.2	408.3	487.5	581.4
Valuation Ratios					
P/E (x)	50.7x	62.5x	43.4x	36.2x	30.6x
EV/EBITDA	37.0x	40.7x	28.7x	24.3x	20.4x
P/BV (x)	15.0x	12.0x	10.0x	8.4x	7.1x
Market Cap. / Sales (x)	7.4x	7.6x	6.3x	5.5x	4.7x

Free Cash Flow Statement					
YE March (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
EBITDA	11,105	10,074	14,149	16,482	19,295
FC Investment	1,217	476	2,874	2,000	2,000
WC Changes	-3,784	-5,552	-947	-2,268	-4,356
Depreciation Tax Shield	462	562	571	615	698
Tax Expenses	2,804	2,591	3,767	4,392	5,017
FCF	4,870	12,517	7,131	8,437	8,620

Cash Flows (Consolidated)					
YE December (Rs. Mn)	FY20	FY21	FY22E	FY23E	FY24E
PAT	8,218.0	6,659.0	9,600.0	11,483.4	13,617.4
Less: Non Operating Incom	(2,091.0)	(1,537.0)	(1,524.0)	(1,907.5)	(2,219.9)
Add: Depreciation	1,829.0	2,183.0	2,144.0	2,307.1	2,685.0
Operating Profit before W	8,321.0	7,760.0	10,657.0	12,303.0	14,502.4
(Inc)/Dec in Current Assets	(5,256.0)	(6,352.0)	(4,467.1)	(4,203.3)	(6,869.8)
Inc/(Dec) in Current Liabili	1,472.0	800.0	3,519.6	1,935.2	2,513.7
Net Cash From Operations	4,537.0	2,208.0	9,709.5	10,034.9	10,146.3
CF from Investing Activities					
(Inc)/Dec in Fixed Assets	(2,485.0)	(2,147.0)	(2,874.0)	(2,000.0)	(2,000.0)
Add: Non Operating Incom	2,091.0	1,537.0	1,524.0	1,907.5	2,219.9
Cash From Investing Activit	1,317.0	(1,567.0)	(1,822.3)	(187.9)	107.4
CF from Financing Activities					
Dividend Paid	(2,465.4)	(2,330.7)	(2,880.0)	(3,445.0)	(4,085.2)
Cash from Financing Activit	(4,755.0)	(484.0)	(2,813.1)	(3,567.0)	(4,239.2)
Net Inc/Dec in cash equival	1,099.0	157.0	5,074.1	6,280.0	6,014.6
Opening Balance	2,182.0	5,669.0	6,526.0	10,580.8	16,643.7
Closing Cash and Cash Equiv	3,281.0	5,826.0	11,600.1	16,860.8	22,658.2

Balance Sheet (Consolidated)					
YE March(Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Liabilities					
Equity Capital	209	210	203	203	203
Reserves & Surplus	27,477	34,521	41,241	49,279	58,812
Equity	27,686	34,731	41,444	49,482	59,015
Net Worth	27,686	34,731	41,444	49,482	59,015
Total Loans	303	578	578	578	578
Lease Liabilities	3,961	4,805	4,015	4,015	4,015
Capital Employed	33,641	41,115	47,549	55,885	65,684
Assets					
Gross Block	3,873	4,349	7,223	9,223	11,223
Less: Depreciation	1,774	2,286	4,430	6,737	9,422
Net Block	2,099	2,063	2,793	2,486	1,801
Investments	1,137	1,644	2,038	2,102	2,177
Intangible Assets	6,146	6,564	6,564	6,564	6,564
Others Assets	972	1,116	1,345	1,562	1,818
Current Assets					
Sundry Debtors	13,807	12,346	14,579	16,723	19,462
Cash and Bank Balance	5,669	6,526	10,581	16,644	22,402
Total Current Assets	32,592	39,801	48,323	58,589	71,218
Less: Current Liabilities					
Sundry Creditors	1,975	2,352	3,107	3,605	4,189
Other Current Liabilities	5,763	6,256	8,212	9,537	11,099
Total Current Liabilities	9,392	10,192	13,712	15,647	18,160
Capital Applied	33,641	41,115	47,549	55,885	65,684

Source: Dalal & Broacha Research, Company

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